

CONFIDENTIAL INFORMATION MEMORANDUM

Summit Precision Manufacturing, Inc.

Industry: Specialty Industrial — Aerospace & Defense Components

Headquarters: Wichita, KS

Founded: 1987 | Employees: 680

Prepared for Qualified Institutional Buyers

1. Executive Summary

Summit Precision Manufacturing is a leading producer of mission-critical machined components and sub-assemblies for the aerospace and defense industry. The Company operates three ISO 9001/AS9100-certified facilities totaling 185,000 sq ft and serves Tier-1 OEMs including Boeing, Lockheed Martin, and Raytheon. Summit generated \$89M in revenue with \$16.9M in EBITDA (19% margin) in FY2024, supported by a \$142M backlog providing 18+ months of revenue visibility.

2. Investment Highlights

- Mission-critical components with high switching costs and long qualification cycles
- 19% EBITDA margin with expansion opportunity through automation investment
- \$142M backlog providing exceptional revenue visibility
- Dual-use platform serving both commercial aerospace and defense
- ITAR-registered and NADCAP-accredited — significant barriers to entry
- Secular tailwind: global defense spending and commercial aircraft production ramp

3. Financial Summary

Metric	FY2022	FY2023	FY2024	FY2025E
Revenue (\$M)	72.4	79.8	89.0	98.0
YoY Growth (%)	8%	10%	12%	10%
Gross Profit (\$M)	26.8	30.3	34.7	39.2
Gross Margin (%)	37%	38%	39%	40%
EBITDA (\$M)	11.6	13.6	16.9	19.6
EBITDA Margin (%)	16%	17%	19%	20%
Capex (\$M)	4.3	5.6	7.1	6.9
Free Cash Flow (\$M)	5.8	6.4	8.2	11.0
Backlog (\$M)	95.0	118.0	142.0	155.0
Book-to-Bill Ratio	1.08	1.12	1.15	1.10
On-Time Delivery (%)	94%	95%	96%	97%
Churn Rate (%)	3.2%	2.8%	2.1%	1.8%

4. Revenue by Program

Program/Customer	Revenue (\$M)	% of Total	Contract Type	Expiry
Boeing 737 MAX	18.5	21%	LTA	2027
Boeing 787	9.6	11%	LTA	2026
Lockheed F-35	14.5	16%	IDIQ	2029
Raytheon Missiles	8.9	10%	Fixed Price	2026
GE Aerospace	7.1	8%	LTA	2027
Other Commercial	18.4	21%	Various	Various
Other Defense	12.0	13%	Various	Various

5. Key Risks

- Customer concentration: Boeing and Lockheed represent 48% of revenue
- Titanium and specialty alloy price volatility
- Skilled machinist labor shortage (avg age of workforce: 52 years)
- Single-source risk on 3 CNC machine tool suppliers

6. Change of Control Provisions

Section 15.3 — Change of Control: Under the Master Supply Agreements with Boeing (representing \$28M annual revenue) and Lockheed Martin (\$14.5M annual revenue), a Change of Control requires written notification within 30 days and allows the customer to audit the acquirer's financial condition and manufacturing capabilities. Either customer may terminate with 180 days notice if the acquirer fails to maintain AS9100 certification or ITAR registration. No accelerated payment provisions exist. All government contracts (18% of revenue) are subject to novation approval by the relevant Contracting Officer, typically requiring 6-12 months.